

INVESTMENT MEMORANDUM

Apple Inc. (AAPL)

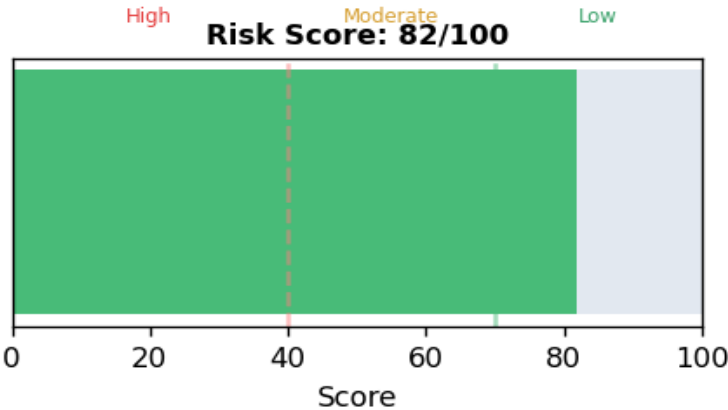
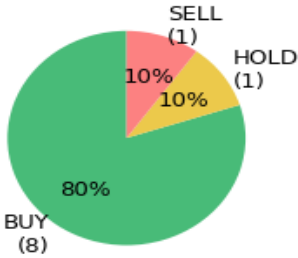
Sector: Technology | Report Date: January 23, 2026

RECOMMENDATION	CONFIDENCE	CURRENT PRICE	TARGET PRICE	UPSIDE
BUY	80%	\$248.03	\$310.03	+25.0%

Key Metrics

Market Cap	\$3,664.9B	Risk Score	82/100 (LOW RISK)
Gross Margin	46.91%	Net Margin	26.92%
ROE	151.91%	ROCE	68.55%
Debt/Equity	1.52x	Current Ratio	0.89x
Rev Growth	6.43%	NI Growth	19.50%
Altman Z	9.96	CF/Debt	0.99

Signal Distribution



Financial Metrics Dashboard

Profitability

Metric	Value	Metric	Value
Gross Margin	46.91%	Operating Margin	31.97%
Net Margin	26.92%	EBITDA Margin	34.70%
ROE	151.91%	ROA	31.18%
ROCE	68.55%	ROIC	73.42%

Leverage & Solvency

Metric	Value	Metric	Value
Debt/Equity	1.52x	Debt/Assets	0.31
Interest Coverage	N/Ax	CF to Debt	0.99
Net Debt/EBITDA	0.55x	Equity Multiplier	4.87x

Liquidity & Efficiency

Current Ratio	0.89x	Quick Ratio	0.86x	Cash Ratio	0.20x
Asset Turnover	1.16x	Recv. Turnover	5.70x	Inv. Turnover	38.64x

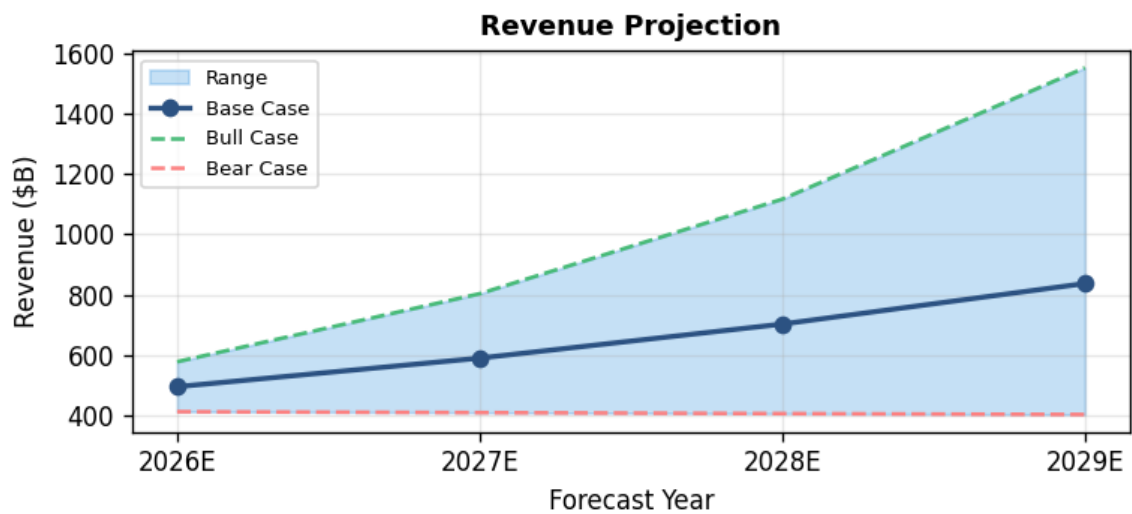
Signal Analysis

Signal	Direction	Value	Threshold
Risk Score	BUY	82.00	>70 / <40
Revenue Growth	HOLD	6.43	>10% / <0%
Net Income Growth	BUY	19.50	>10% / <0%
ROE	BUY	151.91	>15% / <10%
Altman Z-Score	BUY	9.96	>3.0 / <1.81
CF to Debt	BUY	0.99	>0.5 / <0.2
Net Debt/EBITDA	BUY	0.55	<2x / >4x
Current Ratio	SELL	0.89	>1.5 / <1.0
Net Margin	BUY	26.92	>15% / <5%
ROCE	BUY	68.55	>15% / <8%

4-Year Financial Forecast

Projections based on historical trends with Bull/Base/Bear scenarios

Metric	Scenario	2026E	2027E	2028E	2029E
Revenue (\$B)	BULL	578.3	803.6	1116.7	1551.8
	BASE	495.6	590.3	703.0	837.3
	BEAR	413.0	409.8	406.7	403.6
Net Income (\$B)	BULL	149.3	207.4	288.3	400.6
	BASE	106.9	127.3	151.6	180.6
	BEAR	71.5	71.0	70.5	69.9
Free Cash Flow (\$B)	BULL	156.8	217.9	302.8	420.8
	BASE	102.1	121.6	144.8	172.5
	BEAR	61.5	61.0	60.6	60.1
Total Assets (\$B)	BULL	680.4	945.5	1313.9	1825.8
	BASE	554.0	659.8	785.8	935.9
	BEAR	439.6	436.3	432.9	429.6
Total Debt (\$B)	BULL	177.0	278.8	439.2	691.7
	BASE	136.5	165.7	201.3	244.4
	BEAR	95.9	81.9	69.9	59.7



Investment Analysis

Investment Memo for Apple Inc. (AAPL)

To: Investment Committee From: Senior Equity Analyst Date: [Insert Date] Subject: Investment Recommendation for Apple Inc. (AAPL)

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Investment Thesis We recommend a "BUY" rating for Apple Inc. (AAPL) with a target price of \$310.03, representing a 25.0% upside from the current price of \$248.03. Apple continues to demonstrate exceptional financial performance, highlighted by a robust net income growth rate of 19.50% and a remarkable return on equity (ROE) of 151.91%. These metrics underscore the company's ability to generate significant profits relative to its equity base, positioning it as a leader in the technology sector. The low-risk profile, reflected by an Altman Z-score of 9.96 and a risk score of 82/100, further solidifies our confidence in Apple's long-term sustainability and operational strength.

Despite facing potential liquidity challenges indicated by a current ratio of 0.89, Apple's strong profitability margins (gross profit margin at 46.91% and net profit margin at 26.92%) and effective cash flow management (CF to debt ratio of 0.99) provide a counterbalance. The company's ability to maintain a net debt to EBITDA ratio of 0.55 demonstrates prudent leverage management, enhancing our conviction in its financial health. Overall, Apple's combination of strong earnings, low-risk profile, and strategic positioning in the technology sector make it a compelling investment opportunity.

Financial Highlights Apple's financial profile is characterized by outstanding profitability metrics, as evidenced by a gross margin of 46.91% and a net margin of 26.92%. The company's return on capital employed (ROCE) at 68.55% indicates highly efficient use of its capital resources, contributing to elevated shareholder value. However, the company's liquidity position raises some concerns, with current and quick ratios of 0.89x and 0.86x, respectively. While Apple has historically managed its liquidity effectively, these figures suggest a need for careful monitoring to ensure that operational cash flow remains sufficient to meet short-term obligations.

In terms of growth, Apple has achieved a revenue growth rate of 6.43%, which, while modest, is complemented by the impressive net income growth. The forecast for the next four years indicates a base revenue projection of \$837.3 billion, with potential upside reaching \$1.55 trillion under bullish conditions. This growth trajectory is supported by ongoing innovation in product offerings and expansion into new markets. Furthermore, the anticipated free cash flow of \$172.5 billion in the base case scenario underlines Apple's capacity to invest in growth initiatives while returning capital to shareholders.

Growth Outlook Looking ahead, Apple's growth prospects remain strong, bolstered by its ability to innovate and adapt in a rapidly changing technology landscape. The company's commitment to research and development, particularly in areas such as augmented reality, artificial intelligence, and new product categories, positions it favorably for future revenue streams. With the potential to achieve a net income of \$180.6 billion in the base case by Year 4, Apple is on track to enhance its profitability and maintain its leadership position in the market.

Key Risks - **Liquidity Concerns:** Current and quick ratios indicate potential short-term liquidity challenges. - **Market Saturation:** A mature smartphone market may limit growth potential in core product lines. - **Supply Chain Vulnerabilities:** Dependencies on global supply chains may expose Apple to disruptions. - **Regulatory Pressures:** Increased scrutiny and potential regulations in key markets may impact operations.

Catalysts - **Product Launches:** Upcoming product releases, including new iPhone models and services, may drive sales growth. - **Expansion into New Markets:** Entry into emerging markets and sectors can enhance revenue streams. - **Technological Innovations:** Advancements in AI and AR technologies may open new revenue opportunities.

Conclusion In summary, despite some liquidity concerns, Apple Inc.'s strong profitability, low-risk profile, and promising growth outlook make it a compelling investment opportunity. We maintain a "BUY" rating with a target price of \$310.03, reflecting a significant upside potential of 25%. Apple's track record of innovation and operational excellence positions it well for continued success in the technology sector.